



Liquidity

24/7 tradable on Trakx.io
Third party liquidity providers



Safety

Institutional grade
Secure storage



Diversification

Low correlation to
other asset classes



100% Asset-backed

Fully auditable
Collateralised assets

For professional investors only

Trakx Artificial Intelligence

as of 03 Feb 2025

About Trakx

Trakx is a global fintech company creating new standards for digital asset investments. Through our trading platform, we offer thematic Crypto Tradable Indices (CTIs) and customised solutions, providing sophisticated investors a high degree of compliance, security and liquidity. Trakx is registered with the French regulator (AMF).

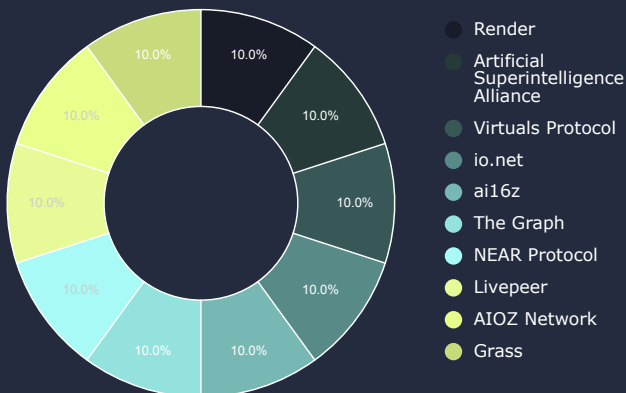
About the CTI

This instrument is designed to replicate the performance of artificial intelligence (AI) cryptocurrencies.

Artificial intelligence is expanding at a phenomenal pace in the world of new technologies, including crypto. It contributes to the blockchain technology improvement in terms of user experience, scalability, and security.

AI cryptocurrencies are tokens that power AI-related projects and platforms on the blockchain.

New Asset Allocation as of 03 Feb 2025



Index Construction Methodology

- The initial universe is composed of all AI crypto-currencies.
- The constituents are selected based on their market capitalization, liquidity and custody.
- The composition is rebalanced on a monthly basis with an equal weighting.

Benefits

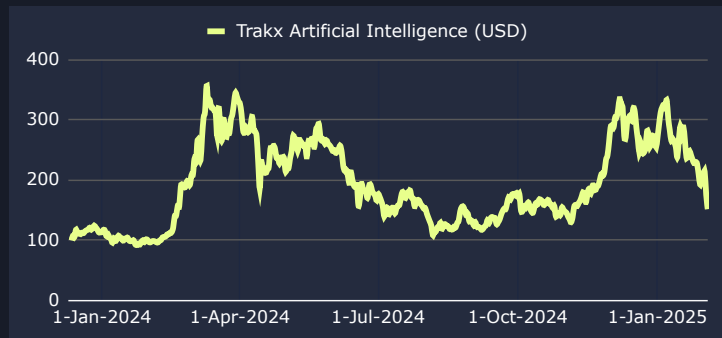
Artificial intelligence (AI) and blockchain are two of the most popular and innovative technologies today. AI and blockchain can be combined in various ways, such as:

- AI-powered portfolio management: AI algorithms to analyse the market trends and optimise the investment strategies for traders.
- AI-generated content: Create digital content, such as images, videos, music, and text, that can be sold or traded using cryptocurrency.
- AI blockchain platforms: Enhance the functionality and scalability of blockchain networks, such as data processing, consensus mechanisms, smart contracts, and oracles.

Historical Performances

Index returns and statistics are for illustration only. All data were calculated from the historical prices of the constituents. Index returns do not reflect any transaction costs or expenses. Past performance does not guarantee future results.

Source: Kaiko, CoinGecko



	1 month	Since 12 Dec 2023	YTD
Index Returns (USD)	-41%	52%	-43%
Annualized Volatility	128%	108%	127%
Index Sharpe Ratio	-3.39	0.42	-3.57
Bitcoin Sharpe Ratio	1.64	2.40	1.07
Max. drawdown	-54%	-70%	-54%
Correlation to S&P 500	0.23	0.15	0.23
Correlation to a 60/40 pfi*	0.26	0.15	0.26
Constituents Market Cap	\$17,178 million		

*simulated portfolio of 60% Equities (S&P500) and 40% of bonds (Long Term US Treasury bonds ETF)

Key Facts

CTI (investment instrument)	
Sponsor	Trakx SAS
Product Ticker	LIAI
Investment Objective	Replicate Artificial Intelligence (AI) tokens
Eligible Investors	Professional investors in EEA and Switzerland Not to be offered to US clients or in the US
Currency	USDC
Management Fee	2%
Performance Fee	0%
Inception Date	12 December 2023
Expiry Date	Open-Ended

Underlying Index	
Name	Trakx Artificial Intelligence
Nb of constituents	Maximum 10
Leverage	1
Rebalancing	Monthly
Weighting	Equal Weighting
Data source	Kaiko, CoinGecko
Custodians	Coinbase Custody, Fireblocks

Risk Factors of the Product

Prospective investors should ensure they fully understand the nature of this product and the extent of their exposure to certain risks. They should consider the suitability of this product as an investment based on their own personal circumstances and financial situation, investment experience, and investment objectives. This product could involve a high degree of risk. Potential investors should be prepared, in certain circumstances, to sustain a total loss of their invested capital. Prospective investors should also consider the following important risk factors below and discuss this investment with their trusted advisors to help verify this product is suitable for their portfolio. Note, the terms and conditions of this product are subject to change during the lifetime of the product.

Market Risks

The general market performance of this instrument is dependent on various endogenous and exogenous factors. Market disruptions such as trading or exchange interruptions, the discontinuation of trading, or other unforeseeable occurrences concerning the respective instrument and/or its underlying assets, the exchanges, market participants, and other factors may take place during the life of this product. Such occurrences can influence the timing of redemption and/or on the market value of this product. Past performance is not a reliable indicator of future performance.

No Dividend Payment

Investors should have no expectation of influence over Trakx's shareholders' general meetings as well as no rights to Trakx's earnings nor other interests in the company, such as dividends.

Termination Risk

Trakx may terminate the product if it doesn't meet the requirements of our clients. In any case, Trakx will announce the delisting thirty (30) days prior to the end date. On the last day, all relevant customer positions on "to-be" delisted CTI will be sold at their NAVs and converted to USDc onto the customers' wallets.

Liquidity Risk

At rebalancing, Trakx only includes constituents that meet minimum liquidity requirements. Trakx is not responsible for the liquidity shortage on the platform, if there is insufficient liquidity on certain constituents, customers may choose to redeem their CTI at a lower price than the NAV. Digital assets may have limited liquidity which may make it difficult or impossible for you to sell or exit a position when you wish to do so. This may occur at any time, including at times of rapid price movements.

Tax Implication

There may be a tax implication on investing in this product. Trakx does not provide any tax opinion. Any Investors should consult with their own tax advisor prior to investing in the product. In addition, investors should be aware that taxation, with respect to the underlying(s) and therefore this product, may (adversely) change over the lifetime of this product.

Foreign Exchange Risk

The investor in the product is exposed to foreign exchange rate risk if the currency of the underlying and settlement currency are not identical.

Volatility of Crypto-Assets

The value of crypto-assets may change significantly, even on an intraday basis. As the volatility of crypto-assets may currently be higher than traditional assets, changes and advances in technology, increases/decreases in fraud, theft, cyberattacks, regulatory changes, and other factors, further stress the potential of exaggerated investment gains or losses in this product. In addition, crypto-assets lack the historical track record of other traditional financial assets, thus increasing performance uncertainty.

Disclaimers

TRAKX SAS and its affiliates (collectively, the "Sponsor") are furnishing this presentation (this "Presentation") to qualified prospective investors for informational purposes only in relation to a potential opportunity to acquire Trakx Digital Asset Index product. This is neither an offer to sell nor a solicitation for an offer to acquire.

Investment in digital currency carries a high degree of risk and volatility and is not suitable for every investor; therefore, you should not risk the capital you cannot afford to lose.

Risks include loss of all capital, liquidity, absence of regulations, execution, counterparty and many more as these are still very experimental technologies. Please consult an independent professional financial or legal advisor to ensure the product meets your objectives before you decide to invest.

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